The General Theory

Chapter 2

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We're in a bit of a bad concepts virus in the *General Theory* right now, and will for a few more chapters. Today we're going to talk about chapter 2, which does exactly what it's supposed to: it introduces the concepts of income and investment, and Keynes separates himself with another Keynesian quote theorem, especially since Keynes cuts *elastic* theorist in particular John Maynard Keynes. If you're pressed for time, or find this chapter somewhat boring and obvious, by all means skip down to the "Radical Break" section, where I take an actual philosophical stance on something fun.

I've broken the piece into up to four sections. The first walks through Keynes' definitions of income, investment, and saving, and tries to make sense of them as each time you read on Keynes how you define things dramatically. The next is on section 3, which provides a right-ethnic lesson in the value of placing global constraints on your method of analysis. In fact you see some of the class benefits of neoclassical "macrofoundations" approach, and shows that while accounting identities may just be tautologies and accounting factors, they do stop one from picking wrong identities, or incompatible causal factors.

Then, in our Philosophy of Spitballing section, we're going to use Keynes' engagement with his prior work as an excuse for a fair little demon. It's true that the General Theory has a lot of stuff in it that seems to be repudiation, and it leads to fun reading. Whether or not this is actually the case or a deeper reading is still an open question in Keynes studies. Professors love disagreeing with each other on things this stuff. Keynes himself argues that the whole difficulty in thinking is throwing off old ideas, but it's not as sure the General Theory constitutes a big radical break with his earlier project or method.

My stance is that—insofar as Keynes has a single project—it proceeds mainly from his Treatise on Probability. At time go, the project becomes incrementally more economic and formalist in order to tighten up details and broaden audiences. This also involves zoning a bunch of Marshallian notions overboard in pursuit of empirical adequacy (no surprising, but also not particularly special for a Cambridge neoclassical perspective. It's almost like there's two cracks: one establishing the rule of action based on uncertainty, one establishing what the actual levers behind economic decisions are, empirically. Having a great model of expectation and uncertainty isn't going to be particularly helpful if you don't know what variables people are actually using to make decisions in uncertainty. And so, even though there's a clear theoretical continuation in Keynes' economic writings, it's hard not to see that as a separate path that links back up with the prior project from the Treatise on Probability in the General Theory. Here, the right set of economic concepts are finally available for the ideas about expectation and decision under uncertainty to do a good job explaining how it is that the economy actually happens.

Sections 1 through 4

In the first four sections, Keynes shows how his account of savings and investment is commensurable with, or better than, the accounts of earlier business cycle theorists. Frankly, this is very easy fun, and I would note here you if you wanted to skip to the next section. If you have a hard time believing that savings and investment are necessarily equal as such (meaning, by all means, read on.

Ultimately, the problem comes down to either the Austrian failing to give a good specification of their core models, or academic disagreements among Cambridge folks as to what exactly "income" and "investment" are. Keynes fully writes off the Australian, so we will too.

As for "income" and "investment," Keynes treats investment first. Keynes' argument is that confusion over what about how savings has to equal investment if one has certain particular beliefs about what all counts as investment. He doesn't particularly care about what type of activities of investment constitute, but it's worth noting that household investment is the same as business investment, dollar-wise. What he does care about is a special definition. The first confusion is over what it means to consider investment "in the aggregate."

Aggregate investment over time means actually new investment goods, not just goods that are new to that particular investor. If someone invests by buying an existing investment good off someone else, the net effect of that transaction is zero in the aggregate. However much one person is investing is offset by someone divesting the same amount. It's not correct to say that the economy is investing more or less than it is considering the other side of the transaction.

Once everyone agrees about how aggregate investment works, the next step is to figure out what all is included under the category "investment." For Keynes, investment refers to increases in fixed capital buildings and machines and new, durable consumption goods (raw materials and inputs to the production process), and liquid capital (inventories of finished products). Each of these pieces of investment might be labeled "savings" in someone else's schema.

This is at the root of Keynes' disagreement with Hayeck, who uses an intertemporal increase in inventories as excess savings and a business cycle indicator. Hayeck's is a classic story between consumer producing on the expectation that nothing will change, and then when things change, they've left with a pile of stuff they have to sell off, and we can tell we're in recession by the pile of stuff. Whether the increase in intentional is accidental—as in the run-up in inventories when demand slows—isn't germane to the question. Inventories represent investment, but the scheduling of excess inventory growth doesn't mean productive capacity utilization is increasing.

Keynes doesn't directly repudiate Hayeck's view so much as he says it is incomplete: if firms scale back production, inventories will shrink as they are sold, and the business cycle will appear to be on an upswing. The problem is, inventories are shrinking because capacity utilization—and thus employment—are down. If we define based on inventories, it becomes very difficult to distinguish between "good" consumption and "bad" consumption, since one of the core points of the General Theory is this relation. The difference between demand and capacity utilization, it is Keynes seems he defined in manners that allow one to separate the two cleanly when doing empirical observation.

As for differences in the definition of "income," Keynes addresses mostly dynamic and base-rate problems. The actual nuances are one dry to get into here, but I can give a general sense.

Has both "forced savings" and Keynes' earlier arguments in the Treatise on Money, the issue is comparing a current case of savings to a "normal" or "natural" rate. In Keynes' critique of his teacher, his issue is that the model of the firm in the Treatise on Money uses discrepancies between firm's "normal profits" and its actual profits as rationalizing an earlier rather than output change. There's no discrepancy in the model in the previous chapter of the General Theory between the entrepreneur as someone with two different sets of spending/saving decisions household and firm. In other words dig, the problem appears to be, in this schema, that savings have exceeded investment, but in reality the issue is that total output is moving around too much.

The same problem obtains for "forced savings" arguments that claim excessive investment from economic participants to save more than they otherwise would by reduction production towards investment goods rather than consumption goods. In these models, there are people who would have liked to have bought consumption goods but couldn't because of forced, decided to just hold onto the money instead. This notion originates in the Austrian literature, but we can actually be more respectable folks like Schumpeter.

Keynes' problem with this is twofold. First, how do we pick a natural rate of saving for the economy as a whole that's not completely arbitrary? What is one base for evaluating? Keynes follows Marshall with his "golden rule"/cry to natural rates basis for a natural or ideal rate of saving. Keynes' point is hard to answer. The second is that the problem of consumption being displaced by investment goods is not necessarily towards involuntary goods, or the exclusion of consumption goods is a problem that's only really a problem if it's a sudden change in the composition of demand. Sudden shifts in employment or inflation will later argue that even full employment may be quite far from Full Employment—this problem never shows up! If you're before full employment and consumption goods are falling to be made, the problem of economic coordination and not economic capacity.

Ultimately Keynes's answer to all these questions is to think of each point in time as a snapshot, with its own levels for savings, investment, effective demand, output, and all the rest. Accordingly, we can define the fact that aggregate savings must equal aggregate investment. I'm not going to do it here, because the way Keynes writes the chapter absolutely rings, and I finally won't do it justice. That does mean I have to immediately understand make some sense, because any individual investor is just acting from their own perspective, and not necessarily thinking about how the macro reciprocally influences the micro.

They also—as we will talk about extensively later on in the book—show that moral stories that unite savings and investment, and thereby provide a moral case for the wealthy to save rather than spend, are complete bunk. If the savings actually involve the investment, then the moral story is that we need high ground to be gained from standing motionless when savings pool around you. In a way, Keynes is saying—wrongly off the decision of others to invest. We'll euthanize the investor, just not today.

A Radical Break?

Since Keynes spends some time in this chapter revising his past models, it's worth taking some time to think through a classic question about Keynes' work as a whole: is the General Theory a radical break with his past work, or the next logical step?

Keynes was trained in a Marshallian, and some of his earlier work—particularly the Treatise on Money—appear to rely heavily on neoclassical and partial equilibrium structures of the kind he explicitly repudiates in the General Theory. The Treatise on Money is usually a big part of these conversations, with some folks saying it's pointless to read because it's fully folded over in the General Theory, and others saying it's skeleton key to Keynes' entire deal. The General Theory itself has the classic line that, "the difficulty lies not so much in developing new ideas as escaping from old ones," and has a lot of throwaway lines in the effect that book should be seen as a full-on Revolution in thought.

While I think this is true in the small sense—Keynes does radically revise some of his earlier assumptions about how the economic works over the course of his career—I don't think it's true in the larger sense. To my mind, Keynes core project remains unchanged over his career, and that is the means by which he pursues that project changed drastically. But to see this requires a little bit of an expansive and philosophical view of economics, rather than one that sees it as the proposition of a series of increasingly more correct descriptions of all possible worlds.

There's always two questions an empirical questions like these, and I tend to avoid them because things get very heated and often drift far from questions about how to use ideas in normal life.

The first question is somewhat literary, and is a question about intent. Does Keynes himself see this as a radical break? Was it recognized at the time as a radical break? How should this affect how we see it and consider him and his time? Myself, being raised a good postmodernist, I am not particularly interested in the answers to these questions. If you are, I recommend reading Zach Carter's book.

The second question is more technical: if this is a radical break, then what parts of the earlier writings should we use when building theories or assigning views to Keynes? What's the relationship between the concepts here and the concepts from Keynes being a good postmodernist, I think the answer to this question is always pragmatic; I default to Rorty's version of the philosopher, where one writes books and articles to produce a character that someone else can argue with without your being in the there. The relationship between that character and the historical person who originally produced the books is sometimes useful, sometimes not. Honestly, the goal of the fabrock as a whole is to build a version of Keynes who is useful for thinking about the world or economy today, and who can plug into debates in other fields reasonably smoothly.

My stance is that Keynes's broiled down in a single sentence, is "how should we act under uncertainty," and his work as a begins with the Treatise on Probability. I highly recommend you go and check out some of his other writings, but I won't cite anything here, because there is not a fundamental difference between Keynes' stuff rather than something actually useful.

As we've talked about before, the Treatise on Probability asks quantitative-like questions about how people form expectations that they then act on, and Keynes determines they live in an uncertain world. Some of the most important actions people especially people in government—undertake are fundamentally economic questions. Economics then becomes both the most important application of reasons about how to act under uncertainty, but it also becomes a playground for observing how people go about their actions, empirically.

The trouble is, when you introduce time, uncertainty, and expectation into the models that were so helpful in the beginning of Keynes' career—Marshall and Ricardo, principally—it causes all kinds of wrinkles, difficulties and inconsistencies. In a Clayton Christen way, to be pithy about it, the core problem—action under uncertainty—you have to re-formulate the instrument by which you evaluate economics.

As such, I see Keynes as breaking off a secondary project from his initial concern to clarify the workings of the economy, so as to understand the forces actually available to individuals acting under uncertainty in the economy. Without doing this, any attempts to use economics as a guide to historical tapestry for understanding "action under uncertainty" is bound to fail, because its fundamental concepts don't actually correspond to the world. Keynes's work, in the General Theory, is concerned with economic concepts that are equally legible to world-wide traders and central bank observations. Older approaches to economics introduce a paradox between the proponents that identified agents are trying to optimize over, and the experience of their optimization. Keynes wants to eliminate this paradox, and really get at the action and understanding.

This involves on one hand, working through and actively revising what's available in the economic literature. Keynes had rich training in the academy and author of resources to devote to this side of the project. At the same time, his revisions were equally driven by active first-hand experience in a wide range of economic endeavors: speculation, international trade, public finance, running a few small businesses.

Under our schema, this iterative grappling with the methods of economic theory and the phenomena they purport to explain is the key to understanding Keynes's work and, indeed, his life, much of what he was doing had clear public-sphere benefits and necessity at the time. We're not trying here to give an explanation of what Keynes was thinking at every point, but rather, how we can think about his life, work and projects reciprocally influencing one another with our goal being a single story of Keynes' work.

This iterative, iterative project eventually matters back up with the core project of "action under uncertainty" with the writing of the General Theory. Now that he has vertical his way out of a bunch of bad assumptions, and condensed his experience over in the economy into usable principles, it becomes possible to try to answer a greatly enriched version of the original question: "how do people in a monetary production economy act under uncertainty, and what does it mean for the prospects of the economy and society?"

The first step is to identify the levers that people can and can't use, and the next step is to figure out why they're using particular levers when they do. Identifying that macroeconomic aggregate phenomena (medical not unlike coronavirus or the behavior of individual actors is a frankly natural part of this project. From this flows the strong in-principle empirical orientation of all of Keynes' economic concepts and questions in the General Theory.

The problem is, Keynes is resting on this particular project sort of in the wilderness here, other folks flabbed for such come to some of the same conclusions around this time, and still others are actively working on decision under uncertainty. Uncertainty was a huge priority at the University of Chicago in the 20s and 30s for example, but Keynes' winding project remains somewhat unique. The absence of a big discipline of people focused on sorting out the problems Keynes identified with economic theory makes his identification of those problems the Most Salient Thing in the General Theory. Later rhetorical forces from the theory side winds up being on "how to run the economy using these new tools" rather than on "how can we organize our behavior as understanding decision under uncertainty."

That Monasterian, Samuel Bowlesian, AM Kaysenian, and dozens of other practitioners sprung up to linger whether Keynes' new account of the economic tools and convention available to access was right or wrong feels like a sign that everyone missed the point. Keynes is trying to make two jumps here simultaneously, so it is understandable but regrettable that people had so much difficulty following him in this. You wind up with a situation where people are reading the simplest possible versions of his ideas (which is fine in order to try and keep doing mechanical economics while addressing the critical of recession, or where people are doing endless esoteric "What Did Keynes Really Mean" papers.

It's a hard project. And is ultimately one that continued to be the grounds on which economic theory fought after Keynes, regardless of how adamantine any particular theory was. The real issue was that almost everyone afterward was for economics, Keynes, and seemed to believe they could simply ignore the problem of the problem in another while building theories. Practically, this produced confused and unsolvable debates on economics by and large, in ever more bizarrely esoteric ways from under.

And so this is my take on whether the General Theory is a radical break from his earlier work or not. In many ways, it is a radical break from some of the content of his earlier economic work, but every step I think represents an attempt to consistently answer a single question.

It's just, sometimes when you want a project, you don't realize that you don't have all the tools. Then, sometimes you get halfway in and realize that no one has invented a tool to do some important thing, and that you have to build the tool on your own, you don't have the expertise to build that tool yet, so first you go and gather the expertise and then build the tool, and then return to the original project and use the tool.

Then say it seems like someone else is trying to work on a similar project independently, and you see that they're trying, and offer them the tool you figured out how to invent. If they're not at the stage where they've encountered the need for that tool, the natural response is going to be "what the hell is this," or "my gal that's genius" based on the recipient's worldview and deal.

Now, if someone doesn't even know what the original project was, or what tools were out there, showing them the tool that you've invented to solve a problem that they don't know about isn't likely to be particularly productive. This I think is basically what happened with the arc of the reception of Keynes' writing. It's also why I'd like to pull as many people to the point where they can have arguments about how to use these tools. To be fair, this is also I think part of the core story of the Lance tutts, on how could anything in the world get organized.

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